



Quarterly Investment Report

Q3 2023 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	53.2%	-1.68%	-4.68%
Credit	23.5%	+2.50%	+2.11%
Equities	8.4%	+2.98%	+13.44%
Property	7.0%	-1.90%	+0.73%
Cash	6.9%	+0.65%	+4.79%

Market Commentary

During Q3 2023, gilt yields moved by approximately +18bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.